

Solventum Announces Intent to Separate Health Information Systems Business

What You Should Know

Solventum announced its intent to separate its Health Information Systems (HIS) business to sharpen focus as a pure-play MedTech provider centered on MedSurg and Dental Solutions.

The Health Information Systems division generates \$1.4B in annual sales, is deployed across 30+ countries, serves over 75% of U.S. hospitals, and processes roughly 660 million clinical documents monthly.

Management operates within a ~\$10 billion addressable market growing at 5–6% annually, leveraging AI-driven autonomous coding and deeply embedded health system software workflows.

Solventum is targeting transaction completion within 12 to 18 months, evaluating structures ranging from a tax-free spinoff to a combination with a scaled industry peer.

Solventum Pursues Separation of \$1.4B Health Information Systems Arm

Solventum plans to separate its Health Information Systems (HIS) business as part of a broader strategy to refine its corporate structure and focus core capital on its MedSurg and Dental Solutions divisions. The transaction, expected to close within 12 to 18 months, will isolate the software unit via a spin-off, sale, or merger.

The planned separation addresses structural friction common in multi-segment healthcare conglomerates, where capital-intensive hardware manufacturing and high-margin software platforms compete for internal resources. While medical consumable divisions require sustained capital for physical R&D and traditional sales pipelines, software businesses demand rapid development cycles, flexible capital deployment, and agile AI integration.

Solventum's HIS business generates \$1.4 billion in annual revenue and serves as a core technology provider for health system revenue cycle management. Operating across more than 30 countries and embedded in over 75% of U.S. hospitals, the unit processes approximately 660 million clinical documents per month through proprietary rules engines built on four decades of medical coding data. As a standalone entity, the software division will target a \$10 billion global addressable market expanding at 5% to 6% annually, gaining the capital flexibility needed to accelerate its AI-driven autonomous coding capabilities and expand into international payment markets.

Financial advisors Morgan Stanley & Co. LLC and Goldman Sachs & Co. LLC, alongside legal counsel Cleary Gottlieb Steen & Hamilton LLP, are advising Solventum on the separation options.

“We have moved with urgency to advance portfolio optimization, a core pillar of our transformation strategy,” said Bryan Hanson, Chief Executive Officer of Solventum. “Health Information Systems is a differentiated business with a strong position and significant potential. We believe separation can unlock value by enabling both businesses to pursue distinct growth agendas, accelerate innovation and realize their full potential.”